

black beans, peanut butter, stale bread, and ramen: Creativity can go a long way.

CHAPTER SUMMARY

- While you're not obligated to use your property to produce income, you can only benefit from having the option to do so. It makes a wonderful exit option in case you're in a pinch and need to move out—or you can use this option strategically as a method to start building wealth.
- When considering using your home as a long-term rental, you should aim for positive cash flow or at least break-even numbers. If the numbers are slightly less than break-even, know that you are at risk of subsidizing someone else's lifestyle in the event that you can't sell your property but need to move out. Make sure to do your research and estimate the numbers as accurately as possible.
- Be wary of using your home as a short-term rental. Though it can generate much more cash flow than a long-term rental, a short-term rental is also at the mercy of your city, your county, and how the travel industry is doing. (We're looking at you, COVID-19.)
- Consider creative strategies like house hacking to subsidize your monthly mortgage payments. You might be able to live for free and even make a little extra cash on the side.
- If you want a closer look at real estate investing strategies and how they can supercharge your wealth, check out the BiggerPockets resources included at the back of this book. (Real estate investing is kind of our thing.)